

Profit Niti AI CFO Report

1. Big Picture — How the Business Looks Right Now

The business is in a critical financial position, operating at a significant and consistent loss. For the last quarter of FY 2024-25, the company reported a net loss of over ₹2,059 Cr on sales of ₹3,715 Cr, indicating a severe cost-of-goods-sold (COGS) problem. While sales showed strong growth in Q4, reaching ₹1,535 Cr in March 2025, the subsequent month saw a sharp 37% drop. The balance sheet reveals a deeply negative total equity of -₹408 Cr, meaning liabilities far exceed assets, placing the company's solvency at risk.

GREEN FLAG BOX — What's Working Well:

- **Strong Sales Momentum (Q4):** Sales grew 25% month-on-month to ₹1,535 Cr in March 2025, demonstrating market demand.
- **Improving Gross Margin:** The gross margin percentage improved significantly from -88% in Jan to -32% in March, showing some cost control progress.
- **Healthy Cash Balance:** The company maintains a robust cash and bank balance of over ₹217 Cr, providing essential liquidity for operations.

RED FLAG BOX — What Needs Attention:

- **Chronic & Massive Losses:** The business is burning cash, with a YTD net loss of ₹2,059 Cr. The cost of sales is consistently higher than revenue.
- **Negative Equity & High Leverage:** Total equity is deeply negative at -₹408 Cr, and total debt stands at ₹368 Cr, indicating a broken capital structure.
- **Volatile and Negative Cash Flow:** Operating cash flow is deeply negative and erratic, reaching -₹113 Cr in April, showing core operations are not generating cash.

CFO Advice:

Immediate survival depends on radically fixing the gross profit problem. Conduct a thorough product/service line profitability analysis to identify and stop selling loss-making items. Simultaneously, engage with lenders to restructure the unsustainable

debt load before it triggers a liquidity crisis.